DATE: 20091002
DOCKET: 04-CV-272922CM3

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: Jennifer Hibberd v. (Plaintiff) v. William Osler Health Center and Robert Alldis (Defendants)

BEFORE: Justice L.A. Pattillo

COUNSEL: *Brian J.E. Brock, Q.C.* and *Roseanna R. Ansell-Vaughan*
For the Plaintiff

Simon A. Clements
For the Defendants

COSTS E N D O R S E M E N T

Introduction

[1] In reasons dated February 13, 2009, I allowed the plaintiff’s action for damages arising from a broken wrist which she suffered in a slip and fall in the corridor of the surgical floor at the William Osler Health Centre on May 26, 2003. The plaintiff, who is a pediatric dental surgeon, claimed general damages for non-pecuniary loss and loss of future income and special damages for past loss of income and out of pocket expenses.

[2] In granting judgment to the plaintiff, I awarded her special damages of $132,246.00 for past loss of income and $3,456.55 for out-of-pocket costs and general damages of $100,000.00 for future loss of income and $25,000.00 for non-pecuniary loss plus pre-judgment interest as specified.

[3] At the conclusion of my reasons, I stated that in the event that the parties could not agree on costs, they should file brief written submissions. In the absence of agreement, I received a brief containing the plaintiff’s costs submissions on July 2, 2009 and a supplemental brief with particulars of disbursements on July 27, 2009. I received the defendants’ cost submissions on August 28, 2009.

[4] As the plaintiff was successful in the action, she is entitled to costs on a partial indemnity basis, subject to the defendants’ offer to settle.

The Offer to Settle

[5] The plaintiff made no offers to settle prior to the commencement of the trial. The defendants made three offers to settle on February 1, 2006, January 29, 2007 and May 8, 2008, none of which were accepted. The first two offers are not relevant. The May 9, 2009 offer, which was served on May 9, 2009, (the “Offer”) was made more than 10 days prior to the commencement of the trial on June 2, 2009, and did not expire until one minute after commencement of the trial. The Offer further provided in part, as follows:

(a) the defendants shall pay to the plaintiff $25,000.00 for general damages incurred as a result of her wrist injury plus pre-judgment interest thereon;

(b) The defendants shall pay to the plaintiff $3,336.55 on account of out of pocket expenses plus pre-judgment interest thereon;

(c) The defendants shall pay to the plaintiff $2,000.00 on account of OHIP’s subrogated claim, inclusive of pre-judgment interest;

(d) The defendants shall pay to the plaintiff $125,000.00 on account of past loss of income plus pre-judgment interest;

(e) The defendants shall pay to the plaintiff $500,000.00 on account of loss of future income; and

(f) The defendants shall pay to the plaintiff her costs on a partial indemnity basis in an amount to be agreed or assessed, including GST and disbursements, to the date of acceptance of the offer.

[6] The plaintiff submits that the Offer does not comply with Rule 49 and accordingly she should receive her costs of the entire action and the defendants should not be entitled to costs from the date of the offer. In particular the plaintiff submits that the defendants did not surpass all provisions of the Offer; the terms of the offer were not severable and rule 49.10(2) permits the Court to deviate from awarding partial indemnity costs to a defendant after the date of an offer to settle.

[7] Rule 49.10 (2) provides, in part, that if “the plaintiff obtains a judgment as favourable as or less favourable than the terms of the offer to settle, the plaintiff is entitled to partial indemnity costs to the date the offer was served and the defendant is entitled to partial indemnity costs from that date, unless the court orders otherwise.”

[8] The plaintiff submits that the Offer only exceeded the award for future loss of income. Otherwise it matched one head of damages (general non-pecuniary damages) and fell short on both past loss of income and out of pocket expenses. As a result, the plaintiff submits that the defendants did not beat the Offer in its entirety. The plaintiff further submits that because the Offer did not provide that the amounts offered under each head were severable, the plaintiff was unable to accept individual heads of damages.

[9] As noted by Sachs J. in *Lumsden et al. v. Delpeche*, [2003] O.J. No. 2248 (S.C.J.), the Court of Appeal in *Skye v. Matthews* (1996), 47 C.P.C. (3d) 222; [1996] O.J. No. 44 (C.A.) held that offers to settle are result, not issue oriented. At para. 17 of *Skye*, the Court stated:

> 17. The offer to settle rules reflect the reality that a plaintiff's basic interest is in what total sum the defence is prepared to pay, and a defendant's basic interest is in what total sum the plaintiff is prepared to accept. There is nothing in the offer to settle rules, or the relevant policy considerations, which suggests that eligible offers should be viewed on an issue by issue basis.

[10] Accordingly, the fact that the Offer broke out the damage amounts in relation to the damage issues is not determinative of whether the Offer has been exceeded by the judgment in this case. What's determinative is the total amount of the Offer. Viewed on that basis, the Offer was for $652,336.55 plus pre-judgment interest and costs. The plaintiff recovered $260,702.55 plus pre-judgment interest. The plaintiff's judgment was less favourable than the Offer by a significant amount.

[11] Further, in my view the issue of severability has no relevance to this discussion. The concept of severability is relevant where an offer to settle is made by a defendant to several plaintiffs with different causes of action. It is not applicable where, as in this case, there is only one plaintiff with one cause of action against the defendants.

[12] Given that the Offer is more favourable than the judgment the plaintiff obtained at trial, the defendants are entitled to their costs of the action on a partial indemnity basis from the date the Offer was served which was May 9, 2009. The plaintiff has provided no reason why I should exercise my discretion not to award costs to the defendant under rule 49.10 (2).

The Plaintiff's Costs

[13] The plaintiff has submitted a bill of costs on a partial indemnity basis up to May 9, 2009 claiming fees in the amount of $197,180.00 and GST of $9,859.00 for a total of $207,039.00. The fee has been broken down into the various stages of the action. The plaintiffs further claim disbursements and GST thereon of $86,803.91. The total amount of fees, disbursements and GST claimed is $293, 842.91.

[14] The defendants take no issue with respect to the hourly rates claimed by the lawyers for the plaintiff. However, based on a review on the lawyers' dockets, they submit that, comparing the hours docketed with the hours claimed in the bill of costs, the plaintiff has overcharged $28,192.65 for Mr. Brock's time and $2,725.00 in respect of Ms. Rombis' time.

[15] The defendants also submit that the fees claimed by the plaintiff in respect of mandatory mediation and pre-trial conference are excessive and should be reduced by one-half or $22,149.00. The events took place within four months of each other and involved much of the same written material. It is submitted that the time spent by senior and junior counsel is duplicative and repetitive.

[16] The defendants further submit that the plaintiff is not entitled to claim the entire expert disbursements listed in her bill of costs. The defendants' position is that the plaintiff should not be entitled to claim expert fees to the extent they arose after May 9, 2009. In particular they submit, based on the invoices that Dr. Mahoney's fee should be reduced by $8,670.00 to $6,866.00 in total; Dr. Wright's fee should be reduced to $924.01 from the $3,675.99 claimed and the fee of Rich Rotstein, the plaintiff's accountants, should be reduced from $30,511.95 to $10,480.16. The defendants further submit that they plaintiff is not entitled to claim a fee for Stephen Tanney and Associates because no report was delivered from them nor did anyone from that firm testify and that the plaintiff is not entitled to the $1,000.00 claimed for Dr. Anna Skalska who was not called as an expert but as a fact witness.

[17] Finally the defendants take issue with the amounts claimed for Quick Law and transcripts. In respect of the former, the defendants submit that in the absence of a breakdown of Quick Law costs pre and post May 9, 2008, the entire amount claimed of $2,500.00 should be disallowed. In respect of the transcript costs, the defendants submit that in the absence of supporting invoices, $727.13 should be deducted from the amount claimed.

[18] I have not been provided with the plaintiff's lawyers dockets. Notwithstanding, in the absence of any denial from the plaintiff's lawyers to the defendants' submission of overcharging for Mr. Brock and Ms. Rombis, I accept the defendants' submission in that regard. I have reviewed the fees claimed and the time spent for both the mediation and the pre-trial. Given that they were reasonably close together in time there is undoubtedly some duplication that necessarily occurred. Notwithstanding, it is my view the time claimed is excessive and some of the work was repetitive. A reduction of 50% of the fees claimed for those items is, however, excessive in my view. I would reduce the fees claimed for those items by $5,000.00.

[19] In respect of the disbursements, given the Offer, I agree that the plaintiff cannot claim expert fees for work done after May 9, 2009. Nor is she entitled to fees for experts who did not provide a report and testify. The plaintiff can also not claim a fee for Dr. Skalska. I have reviewed the invoices provided and agree with the defendants' assessment of amounts claimed for the expert doctors which relate to work done after May 9, 2009.

[20] Based on my review of the transcript invoices provided compared with the amount claimed, and in the absence of any explanation for the missing invoices, there should be a reduction of $523.95 in the amount claimed for transcripts. In respect of the Quick Law costs of $2,500.00, there is no doubt that some of the costs relate to research done before May 9, 2008. I would allow $1,250.00 for Quick Law.

[21] The July 30, 2008 account of Rich Rotstein provides an outline of work done but no time period to which it relates or dates on which the specific work was done. The previous account is dated August 27, 2007. It is clear from the brief description provided in the July 30, 2008 account that a lot of the work was done after May 9, 2008. How much I cannot tell from the material I have been provided. The defendants submit the account should be reduced from $30,511.95 to $10,480.16. As with the issue of the time spent by Mr. Brock and Ms. Rombis, I have received no response from the plaintiff taking issue with the amount the defendants submit

the Rich Rotstein account should be reduced. Accordingly, I accept the defendants' submission concerning the reduction.

[22] In the result, and based on the above comments, I would assess the plaintiff's fees to May 9, 2009 in the amount of $167,750.000 including GST. I would assess the plaintiff's disbursements at $40,000.00 including GST. Total fees and disbursements to May 9, 2009 are therefore assessed at $207,750.00 inclusive of GST.

[23] In addition, on February 26, 2008, Perell J. made a costs order in respect of a motion relating to documentary production by the plaintiff. Perell J. assessed the costs of the motion at $21,250.00 and provided that the costs be payable in the cause. The plaintiff is entitled to those costs.

[24] In total therefore, the plaintiff is entitled to her costs of the action up to May 9, 2009 fixed in the amount of $229,000.00, inclusive of disbursements and GST.

The Defendants' Costs

[25] The defendants have provided a costs outline and partial indemnity bill of costs for the period after May 9, 2009 claiming fees in the amount of $152,281.50 and disbursements of $35,749.01 plus GST for a total of $189,551.85.

[26] In response to the defendants' bill of costs, the plaintiff submits that the hourly rates claimed of $300.00 for Mr. Clements and $170.00 for Ms. Martin are high given their years of call; that the number of personnel who attended the trial on the defendants' trial team was excessive; and that unnecessary costs were incurred as a result of two experts for the defendants providing inaccurate and/or misleading evidence at trial. The plaintiff further submits that the defendants' refusal to admit liability was unreasonable and unnecessarily delayed the trial.

[27] Mr. Clements is a 1992 call. The guidelines concerning partial indemnity hourly rates provide that a lawyer between 10 and 20 years experience may receive a maximum of $300.00 per hour. In my view, even though he was lead counsel for the defendants, given his year of call, his hourly rate should be fixed at $275.00 for this action. Ms. Martin, Mr. Clements co-counsel was called in 2006. I agree with the plaintiff that the appropriate hourly rate for her is $120.00 and not $170.00.

[28] I am also in agreement that the defendants cannot claim for the attendance of summer students at the trial. While I applaud the defendants' solicitors for having summer students attend at the trial and be involved in the proceedings to further their learning, the plaintiff should not have to pay for that. I do not consider, however, that the presence of an articling student for a brief period and a law clerk can be said to be excessive, having regard to the issues.

[29] I do not consider that it was unreasonable for the defendants to have contested liability in the action or raised contributory negligence or that in pursuing such positions the defendants wasted the court's time. In my view, the defendants were entitled to take such a position. The fact that they were not successful should not impact on the costs they are awarded.

[30] Finally, I do not think that the evidence of either Mr. Archibald or Mr. Soriano was inaccurate and/or misleading as submitted by the plaintiff. As defendants' counsel notes, Mr. Archibald was effectively cross-examined by Mr. Brock leading to his evidence not being accepted by me. Notwithstanding the concerns I expressed about Mr. Archibald's evidence in my reasons, it was relevant to the issue of liability. In respect of Mr. Soriano's evidence, I am at a loss to understand how it was either inaccurate or misleading as submitted by the plaintiff. Mr. Soriano was called in response to the testimony of Mr. Ian Wollach from Rich Rotstein. Given the number of changes in both theories and amounts by Mr. Wollach, not only at the commencement of trial but also during it, I consider that Mr. Soriano did an excellent job in responding. At no time did I consider his evidence either inaccurate or misleading. Further, I recognize that as a result of such last minute changes to the plaintiff's damage position, the defendants incurred increased costs in having to respond.

[31] In the result therefore, and given the above noted changes to the defendants' bill of costs, I assess the defendants' partial indemnity costs from May 9, 2009 at $175,000.00 inclusive of disbursements and GST.

[32] The plaintiff's partial indemnity costs of the action to May 9. 2009 are fixed in the total amount of $229,000.00. The defendants' partial indemnity costs from May, 9, 2009, the date of their offer to settle to the end of the trial are fixed in the total amount of $175,000.00.

[33] Subtracting the defendants' costs from the plaintiff's costs, the plaintiff is entitled to net costs in the amount of $54,000.00 payable by the defendants forthwith.

L. A. Pattillo J.

Released: October 2, 2009